

Trade the trendline. In those patterns with a down-sloping trendline—a line joining the twin highs in the pattern—buy the stock when price closes above the trendline. That strategy will get you in sooner, lowering your risk of failure.

This idea is similar to using a neckline to enter a trade in a head-and-shoulders bottom. When the neckline slopes downward, it can signal a better entry price.

Stop location. If you are so unlucky as to misidentify a triple bottom or perhaps catch one that fails, then be sure to place a stop-loss order at a location of your choice. [Table 67.7](#) gives guidance for how often a stop will trip at various locations in the triple bottom.

Experience

The triple bottoms I've traded have all been on the buy side. Let me discuss some of them.

Albemarle

Albemarle (ALB) formed a triple bottom in early to mid-2004. The day after price broke out upward from the pattern, I was there with a buy order about 30 minutes before the close. I received a fill at a split-adjusted price of 15.63.

In my notebook, I wrote, “Mood (Will trade work? Bought too soon?): Not as confident as price dropped after I bought. I feel like I'm trading too often. Everything I buy is going up, and that means a crash is coming. I'm overtrading just because I feel so good doing it. Buy reason: Triple bottom at yearly high with upside breakout. Strong base below. Other diversified chemicals [companies] are trending higher. I expect this to continue moving up.”

I placed a stop-loss order at 14.19, a few cents below the prior minor low, for a potential loss of 9%. Two days after I bought, I raised the stop to 14.76, or 6% below my buy price.

Instead of the stock continuing to move up, it continued to move lower, even as I raised the stop. In other words, I bought on the day price peaked.